THE REPUBLIC OF CORTESIA DEL MAR
COMMON COURT

In the matter between:

PEREGRI

&

OKO

(with various parties intervening)

CASE DETAILS

CASE NUMBER: 4

COURT: IceCarim CJ

DATE: 13 April 2025 (GMT)

JUDGMENT

JUDGMENT OF THE COURT: IceCarim CJ, paras [1] – [83]

CHIEF JUSTICE ICECARIM delivered the judgment of the Court.

I. Introduction

[1] Five words give rise to this judgment of five thousand.

[2] On 31 March 2025, President oko wrote in the #economics channel, "today is debt payback day!!!" But she was wrong. Peregri's bond was to mature on 4 April 2025. And nine minutes after, Treasurer yodabird19 let her and the rest of Cortesia know.

[3] Unfortunately, that stitch in nine was out of time. Or so says Peregri, who claims that, between the President's message and the Treasurer's retraction, he entered into a contract — reliant on funds from the bond repayment — with Vortexion to buy a blueprint. That contract set a payment deadline of 15h40 on 1 April 2025.[1]

[4] Because Peregri did not receive his payout from the bond until it matured (on 4 April), he was not able to meet the contract's payment deadline. Two consequences followed under the contract: The blueprint sale was cancelled and Peregri became liable to Vortexion for a 100 000 credit late fee.

[5] With this background in mind, we consider whether the President unlawfully induced Peregri to enter into this contract with Vortexion, and, if so, whether the President must compensate Peregri for the full amount of the late fee.

[6] We are indebted to the numerous *amici curiae* (friends of the Court) who made helpful submissions in the hearing.

II. Preliminary matters

[7] Before turning to the main issue, we must ensure that the suit has been filed against the correct defendant. Peregri has chosen to sue the President alone. In the hearing, an *amicus* argued that the "dispute is with the Cortesian Treasury". We disagree.

[1] All times in this judgment are in Greenwich Mean Time.

[8] The case presented by Peregri is that the President made a false statement which caused him to enter into a contract of sale with Vortexion. This claim, which is delictual (or tortious) in nature, arises under the General Civil Reparations Act, 3 of 2022 (the Act). When a claim is proven under the Act, the defendant is responsible for providing compensation.[2]

[9] For the reader unfamiliar with the concept of delicts/torts[3], here is a brief explanation. Begin with the distinction between a crime and a civil wrong. A crime is an especially serious kind of wrong, so offensive to public morals that society generally requires offenders to face *punishment*. A civil wrong, on the other hand, is any violation of a right or legally-protected interest. The wrongdoer must *remedy* the wrong, but is not necessarily punished in the process. And only the person wronged is entitled to the remedy.[4]

[10] A breach of contract is a good example of a civil wrong. Contracts create rights, enforceable against a party bearing the obligation to respect or fulfil those rights. But this case is different. The President is not a party to the contract. And if she is not a party, how can she bear any obligations in terms of the contract? There is no trick to it; she does not.

[11] The obligation comes from elsewhere — delict. Suppose someone has a creeper farm and, through negligence, leaves a gap in the wall. The next time you log in, half your house is missing. Delict is where you would find your remedy. And, in such a case, the equitable remedy happens also to be the most straightforward: restoration to the position you would have been in had the delictual act not happened.

[12] In this case, Peregri claims a right not to suffer economic loss from an unlawful cause.[5] That is clear from his application to file suit: "Oko's DECEITFUL message here led me to enter into a contract with Vortexion that stipulated late fees if I could not pay up on time." The sole question

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[2] See section 9 of the Act.

[3] These terms refer to the same concept. I will use the Roman term "delict" from here onwards.

[4] See, for example, John Gardner *Torts and Other Wrongs* (2019) at 4 (Gardner), where he says: "Torts are legal wrongs, i.e. breaches of legal duty or obligation, and they are legal wrongs against particular people, i.e. they violate particular people's legal rights." (Footnotes omitted.)

[5] And we are careful to say *economic* loss because we do not decide in this case whether credits are property under section 15 of the Constitution of the Republic of Cortesia Del Mar, 2022 (the Constitution).

this presents is whether the President's allegedly "DECEITFUL message" attracts delictual liability under the Act.[6]

[13] The validity of Peregri's bond is therefore not at issue, and that is why this Court did not interfere with its repayment on maturity. The President and the President alone[7] must repay Peregri if we find her delictually liable for his economic loss. For that reason, on the pleaded case, she is the correct defendant for Peregri to sue.

III. Elements of delict

[14] Suffering economic loss because of someone else's action is not by itself compensable. Suppose you lend a set of armour to a friend, but in a fit of bad ping they are killed by mobs and lose it. It would not be fair for the law to attribute liability to your friend because they were not at fault. Or suppose you bet on someone in a SvS battle and they lose. The law demands no compensation from the loser, though it was surely their fault for losing, because there is no duty on them to win you money.

[15] We have thus sketched out the basis for a delictual claim. Section 6 of the Act presents this in a set of elements, designed to attribute liability only where it is fair:

> "(1) The presence of the following elements must be established on a balance of probabilities for a plaintiff to succeed with a claim.
>
> (a) Harm to a legally-protected interest of the plaintiff.
>
> (b) Conduct by the defendant that causes the harm.
>
> (c) Intention or negligence on the part of the defendant to cause the harm.
>
> (d) Wrongfulness in terms of Subsection (3)."

[6] Peregri also asked for 100 000 credits as compensation for emotional damage. This claim was not pressed in the hearing, and we will explain why it must, in any event, fail.

[7] We refer to the President in her official capacity. Whether the President must pay out of her own pocket or using treasury funds does not need to be decided in this case.

IV. Approach to delicts

[16] As we have already established, Peregri suffered economic loss. He is indebted to Vortexion for the 100 000 credit late fee. The conduct alleged to have caused that harm is the President's message saying "today is debt payback day!!!" We could go on to analyse whether other, less apparent elements enumerated in the Act are met — and we will later. But uncritically proceeding to this next step could bring unintended consequences into our jurisprudence.

[17] Rights can be harmed in innumerable ways, differing sometimes in degree and sometimes in kind. Defamation harms one's dignity and reputation, whereas arson damages one's property. On first view, the elements in the Act seem to invite a uniform method of application across all delictual cases. But once we take account of the diverse forms that delicts can take, it becomes clear that these elements must be applied flexibly, sensitive to the context of the specific delict alleged.

[18] This does not mean courts have an unfettered liberty to extend delictual liability. We simply recognise that "[t]hose who apply [a] rule to particular cases must of necessity expound and interpret that rule."[8] The common backbone of all delicts consists of the elements specified in the Act, but as cases come to the courts, particular types of delicts sharing a factual pattern will become recognisable. And when they do, courts must give the public — and indeed future courts — clear guidance on how those delicts may be proven by laying down rules to help assess whether a particular element has been established.

[19] This approach, we hope, will contribute to certainty in the law. It aims to address concerns like those pertinently raised by Peregri towards the end of the hearing: "Is there a statement in the law somewhere that inducing someone to sign an agreement with faulty information can only result in damages if that person takes some due precaution? I will certainly want to know this for the future." The answers are not readily apparent from

[8] *Marbury v. Madison*, 1 Cranch 137, 177 (1803).

the common elements of delict provided in the Act. Courts must supply them.

[20] We therefore hold that, when presented with a claim arising under the Act, a court must first identify the type of delict involved. This involves an evaluation of the facts alleged so as to understand which pattern of conduct, harm, causation, fault, and wrongfulness the claim falls into. Where the claim is entirely novel, and therefore cannot be characterised as a defined delict, the court may establish it as a new category of delict. But courts must always keep in mind that they are constrained by the common elements set out in the Act.

[21] Because this case involves the first delictual claim presented to a Cortesian court, we offer some guidance on applying the Act under the approach we have set out. We turn to characterising the delict involved.

V. Negligent misstatement

[22] Peregri's claim, we recall, alleges that the President's "DECEITFUL message here led me to enter into a contract with Vortexion that stipulated late fees if I could not pay up on time." In essence, the claim is that Peregri relied on an inaccurate message by the President to his economic detriment.

[23] This situation resembles the English law delict of negligent misstatement, which we will consider shortly. We note, however, that Peregri also claimed that "[b]ecause of Oko's FRAUDULENT message, I am now on the hook for the late fee." Fraudulent misrepresentation is a delict of its own, and Peregri appears to have had it in mind when stating his claim. But we are not persuaded that Peregri's claim should be characterised as one of fraudulent misrepresentation.

[24] Firstly, it was not pressed at all in the hearing that the President had any fraudulent intent behind the message. And secondly, Peregri submitted at one point that "there is precedent for *minor misspeaking* from the president to lead to large payouts in legal suits". (Emphasis altered.) Without any serious suggestion that the President's message was

anything more than a misstatement, we are quite confident that fraud has none to do with this case.

[25] Separately from this, Peregri also claimed "ONE HUNDRED THOUSAND credits for the emotional damage incurred". It is unclear what emotional damage Peregri is referring to. We can infer at most out of the allegations transient disappointment or confusion, which is certainly not actionable. We thus dismiss this claim out of hand.

[26] We now evaluate whether the President's message amounted to the delict of negligent misstatement. Our touchstone is section 6 of the Act, which we reproduced in paragraph 15.

[27] The Act first requires "[h]arm to a legally-protected interest" to be established. Here, Peregri suffered economic loss. One's money is undoubtedly a legally-protected interest, and loss of it is harm. If only the other elements were this easy to assess.

[28] Next, the Act requires "conduct by the defendant that causes the harm". This element is slightly trickier in this case, and it actually assesses two things. The first is a factual showing of some conduct — an act or omission — by the defendant. This obviously occurred here, in the form of the President's message. The second, which we will get to later, is a showing of causation.

[29] Causation begins a troika of difficult questions. The other members of that unmerry band are negligence and wrongfulness. We think it logical to start with wrongfulness, which aims to test whether the conduct should attract liability at all.

A. Wrongfulness

[30] If the President's message in this case were truthful and accurate, for example, then it could not be wrongful. But that's not all. As the South African Constitutional Court explained in *Loureiro v Imvula Quality Protection (Pty) Ltd*:

> "The wrongfulness enquiry focuses on the conduct and goes to whether the policy and legal convictions of the community,

constitutionally understood, regard it as acceptable. It is based on the duty not to cause harm – indeed to respect rights – and questions the reasonableness of imposing liability."[9]

[31] In English tort law, wrongfulness is established as "breaches of legal duty or obligation".[10] The leading English case of *Caparo Industries PLC v Dickman* is instructive on the issue of wrongfulness in negligence misstatement cases. There, Lord Bridge explained:

> "The damage which may be caused by the negligently spoken or written word will normally be confined to economic loss sustained by those who rely on the accuracy of the information or advice they receive as a basis for action. The question what, if any, duty is owed by the maker of a statement to exercise due care to ensure its accuracy arises typically in relation to statements made by a person in the exercise of his calling or profession."[11]

[32] In determining this duty, the House of Lords approved of Lord Denning's approach in *Candler v. Crane, Christmas & Co. Ltd.* [1951] 2 K.B. 164., which Lord Oliver summed up as follows:

> "First, the advice must be given by one whose profession it is to give advice upon which others rely in the ordinary course of business, such as accountants, surveyors, valuers and the like: p. 179. Secondly, it must be known to the adviser that the advice would be communicated to the plaintiff in order to induce him to adopt a particular course of action: p. 180. Thirdly, the advice must be relied upon for the purpose of the particular transaction for which it was known to the advisers that the advice was required: p. 182."

[33] In his speech in *Hedley Byrne & Co Ltd v Heller & Partners Ltd*, Lord Reid would have extended the duty to—

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[9] *Loureiro and Others v Imvula Quality Protection (Pty) Ltd* (CCT 40/13) [2014] ZACC 4; 2014 (5) BCLR 511 (CC); 2014 (3) SA 394 (CC) (20 March 2014) para 53.
[10] Gardner at 4.
[11] *Caparo Industries Plc v Dickman* [1990] UKHL 2 (08 February 1990), accessed at https://www.bailii.org/uk/cases/UKHL/1990/2.html

> "all those relationships where it is plain that the party seeking information or advice was trusting the other to exercise such a degree of care as the circumstances required, where it was reasonable for him to do that, and where the other gave the information or advice when he knew or ought to have known that the inquirer was relying on him."[12]

[34] With these statements in mind, we now consider whether the President's message was wrongful. We first assess whether it was inaccurate.

[35] There is no dispute in this case that the date on which the President said "today is debt payback day!!!" was not the date on which Peregri's bond reached maturity. Peregri thought "it implied that bonds would mature on 3/31".

[36] The President's response was terse. She claimed that the "message indicates that we needed to look over the repayment spreadsheet as [A]pril was upcoming".

[37] We reject this understanding of the message, which does not comport with its ordinary meaning. The Treasurer did not share the President's apparent understanding either, and quickly responded with an "erm actually" accompanied by a screenshot of the correct bond maturity dates. We find it significant that the President made no attempt to correct the Treasurer's understanding with an explanation of what her laconic message meant.

[38] While we are not convinced by the President's explanation of her message in the hearing, we do find it significant that her explanation leaves no doubt that the message pertained to bond repayment. The most probable interpretation to the reader was one or more bonds would be repaid on 31 March 2025. And that renders the message inaccurate.

[39] Having so concluded, we turn to whether liability should follow. We acknowledge forthwith that the President's statements reach a wide audience, and the "opportunities for the infliction of pecuniary loss from

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[12] *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1963] UKHL 4 (28 May 1963), accessed at https://www.bailii.org/uk/cases/UKHL/1963/4.html

the imperfect performance of everyday tasks upon the proper performance of which people rely for regulating their affairs are illimitable and the effects are far reaching."[13] We must take care to avoid an approach to wrongfulness that burdens the President with "liability in an indeterminate amount for an indeterminate time to an indeterminate class."[14]

[40] Peregri says "there *is* precedent for minor misspeaking from the president to lead to large payouts in legal suits". That is assuredly wrong. Presumably he refers to this Court's decision in *Troll_Bebek v Alenarith Group*, where JUSTICE COMMRADEPOTATOE was tasked with interpreting an ambiguous contract. That decision did not set a rule that "minor misspeaking from the President" invites liability. Instead, after carefully examining the contractual offer in that case, JUSTICE COMMRADEPOTATOE determined that the plaintiff's interpretation was the more reasonable one. He then enforced that interpretation, holding that courts "shouldn't cancel a contract just because someone was irresponsible when writing and posting it."

[41] Nothing in JUSTICE COMMRADEPOTATOE's reasoning, which was confined to a contractual dispute, suggests that courts must be inclined against the President when she misspeaks. At most, *Troll_Bebek* stands for the simple proposition that ambiguity in a contractual term should be resolved by resort to an objectively reasonable understanding. And JUSTICE COMMRADEPOTATOE's conclusion on enforcement says it is not unfair to hold someone to an unfavourable interpretation resulting from their own unclear drafting.

[42] These conclusions do not apply to this case, and Peregri's apparent reliance on *Troll_Bebek* is thus misplaced.

[43] There is a tendency in some jurisdictions to insulate the President from delictual liability. This responds to the "prospect that damages liability may render an official unduly cautious in the discharge of his official duties".[15]

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[13] Lord Oliver in *Caparo*.
[14] *Ultramares Corporation v. Touche*, 174 N.E. 441, 447.
[15] *Nixon v. Fitzgerald*, 457 U. S. 731, fn 32.

In *Nixon v Fitzgerald*, for example, the United Supreme Court recognised that "diversion of [the President's] energies by concern with private law-suits would raise unique risks to the effective functioning of government" and therefore held that the President "is entitled to absolute immunity from damages liability predicated on his official acts."[16]

[44] We are sceptical, however, about affording the President special treatment under the assessment of wrongfulness when there is little to suggest that liability will impair her ability to govern effectively. We agree with Justices Ackermann and Goldstone when they say that "[f]ears expressed about the chilling effect such delictual liability might have on the proper exercise of duties by public servants are sufficiently met by the proportionality exercise which must be carried out and also by the requirements of foreseeability and proximity."[17]

[45] The English cases canvassed above demonstrate that wrongfulness focuses on the conduct alleged and the relationship between the parties. On this latter aspect, we think Lord Reid has the better of the views — and his is especially suitable for adaptation to Cortesian jurisprudence, since it is not limited to professional relationships. When someone provides information intending that it may be relied on, they should ensure that the information is accurate. A failure to take such care rises to wrongfulness in delict when the provider of the information is specially trusted to deliver it accurately.

[46] When the President provides information about treasury bonds in an official capacity, the public is entitled to rely on it. Her word on such matters in special because it holds authority; quite literally, it leads the commerce of the nation. Recognising the important communicative role played by the President, the Supreme Court said in *Vortexion v star_litty* that "the President is not only an active leader of the nation, but someone who the world sees as the figure representing Cortesia Del Mar." The Court also "emphasise[d]" that "the President of Cortesia is no ordinary

[16] Ibid at 749.
[17] *Carmichele v Minister of Safety and Security* (CCT 48/00) [2001] ZACC 22; 2001 (4) SA 938 (CC); 2001 (10) BCLR 995 (CC); 2002 (1) SACR 79 (CC) (16 August 2001) para 49.

office holder; and citizens are entitled to demand the highest standards from the nation's highest office-holder."

[47] The President breached that public duty by misleading the public about the bond repayment date. We therefore conclude that the President's inaccurate message was wrongful in the delictual sense.

B. Negligence

[48] We move on to whether the President wrote her message negligently.

[49] Section 7(2) of the Act provides the test for negligence as follows:

> "(a) a reasonable person in the position of the defendant—
>
> (i) would have foreseen the reasonable possibility of their conduct causing harm to the plaintiff; and
>
> (ii) would have taken steps to prevent that harm from occurring; and
>
> (b) the defendant did not take the steps a reasonable person would have taken to prevent the harm."

[50] An element of negligence under the Act asks whether "a *reasonable* person in the position of the defendant would have foreseen the *reasonable* possibility of their conduct causing harm to the plaintiff". (Emphasis added.) This second "reasonable" is confusing and, perhaps, inartful. It speaks to degree, whereas the first "reasonable" is about character. Perhaps the legislature intended "reasonable possibility" to mean a possibility beyond *de minimis*, but considerations of severity and likelihood are better placed in the subsection 7(2)(a)(ii), which enquires whether a reasonable person would have taken steps to prevent the harm.

[51] We therefore hold that subsection 7(2)(a)(i) is fulfilled so long as a reasonable person would foresee a non-negligible possibility of harm. Subsection 7(2)(a)(ii) focuses on whether the reasonable person would consider the possible harm likely or severe enough to warrant the taking of steps to prevent it. We now apply these principles.

[52] Given that the President's message was an indication that one or more bond payments would be made on 31 March 2025, it would be reasonable

to expect that bondholders might arrange commercial transactions dependent on timely payment. In turn, such bondholders would be expected to face a possibility of economic loss if the message turned out to be incorrect. We are sure, then, that a risk of harm to bondholders was reasonably foreseeable. Does it matter *which* harm?

[53] Subsection 7(2)(a)(i) of the Act is unclear whether reasonable foresight must relate to the actual harm alleged by the plaintiff or any harm at all which could arise from the defendant's conduct. In other words, to satisfy this subsection, is it enough for a reasonable person to foresee that harm, of whatever kind, could befall the plaintiff as a result of the defendant's conduct? Or must the plaintiff's exact harm be reasonably foreseen?

[54] In our view, the foresight required relates to the *genus* of harm suffered by the plaintiff. The foreseeability of the plaintiff's actual harm is more appropriately tested under causation, which we will turn to shortly. Under negligence, reasonable foresight of the "general manner" in which the plaintiff's harm arose is sufficient.[18] On the other extreme, it would make scant sense to find the defendant negligent on the basis that a possibility of harm entirely unconnected to the plaintiff's case should have been foreseen.

[55] We have already shown that a reasonable person would have foreseen the possibility of a bondholder suffering economic loss from making a commercial arrangement dependent on the accuracy of the President's message. The plaintiff's harm falls squarely within this *genus*.

[56] And the President should have taken reasonable steps to guard against that harm. The risk of economic loss was not negligible if the President's message was inaccurate (as it was), and large sums of money were on the line.

[57] If her message carried a meaning that she did not intend, she could have drafted it more carefully. If she really thought 31 March 2025 was bond repayment day, then she should have checked the "Treasury bookkeeping

[18] *Sea Harvest Corporation (Pty) Ltd and Another v Duncan Dock Cold Storage (Pty) Ltd and Another* (12/97) [1999] ZASCA 87; [2000] 1 All SA 128 (A) (26 November 1999) para 22.

ledger" to be sure — or asked the Treasurer. And she could have published more specific dates to provide commercial certainty to bondholders.

[58] Any of these would have been reasonable and easy steps to mitigate the risk of economic loss. We therefore find the President to have acted negligently.

C. Causation

[59] We turn finally to causation, which has two components. The first is simple and casts a wide net: Section 6(2)(a) of the Act requires "factual causation" to be established "in that, but for the conduct of the defendant, the result would not have occurred." By result is meant, of course, the plaintiff's actual harm.

[60] This wide-reaching component is easily met here. Peregri owes the late fee in terms of a contract he entered into as a direct result of the President's message.

[61] The second component of causation whittles down the basket of causes captured by factual causation, leaving only the most legally relevant ones. Section 6(2)(b) of the Act provides the test:

> "(b) Legal causation must be established considering—
>
> (i) whether the conduct of the defendant is proximally related to the harm;
>
> (ii) whether the conduct of the defendant causes the harm in the ordinary course of affairs; and
>
> (iii) whether attributing causation to the defendant is in the interests of justice."

[62] Causes that are remote from the harm should not give rise to liability. A blacksmith certainly causes death in the widest sense if they sell a decorative sword to a traveller who uses it to kill someone else. Here, both the blacksmith and the traveller contribute conduct that causes someone's death. But we know that only one of them should be liable.

[63] As we alluded to earlier, foreseeability of the actual harm will be relevant to legal causation. We do not think it can be just to attribute liability to a

defendant for unforeseeable harm. On foreseeability in cases of negligent misstatement, Lord Oliver in *Caparo* admonishes us to—

> "keep in mind that it is almost always foreseeable that someone, somewhere and in some circumstances, may choose to alter his position upon the faith of the accuracy of a statement or report which comes to his attention and it is always foreseeable that a report — even a confidential report — may come to be communicated to persons other than the original or intended recipient."

[64] In the interests of fairness, we hold that in cases of negligent misstatement, the harm must result from *reliance* on the misstatement. This reliance must be proximal, *bona fide*, and reasonable: if a plaintiff knows or should know that the misstatement is inaccurate but still relies on it, no liability ensues.

[65] Applying these rules, it is clear that Peregri cannot establish legal causation. The evidence behind Peregri's contract suggests that it was hastily entered into for the sole purpose of extracting compensation equalling the late fee from the President. Referring to the conversation between Peregri and Vortexion leading up to the contract, Astralchroma observes that:

> "Peregri opens the exchange simply asking to spend a million credits on *anything*, indicating that Peregri just [wants] to spend the money, and quickly. This idea that Peregri is just trying to spend the money quickly is reinforced by the quick follow up with a contract (which I don't believe has been provided to the courts), and the lack of conversation regarding the terms of the contract."

[66] She concludes that "they intentionally entered into the contract knowing that Oko's statement was incorrect, betting that the courts would order they be compensated." On balance, we think Astralchroma is right. Three other reasons, in combination, support this conclusion.

[67] Firstly, the contract stipulates a payment deadline of 15h40 on 1 April 2025. This happens to be just a whit over 24 hours from the President's misstatement. No cogent reason was provided for this risky payment

deadline. It seems designed for the day (of the President's message) to expire and the late fee to kick in expediently.

[68] Secondly, the Peregri's explanation of the late fee is facetious. He claims that it "was a bargaining tactic I used to try to make Vortexion more amenable to the deal." That is hard to believe when Vortexion did not even know it existed — "who's paying this fee?" was Vortexion's reaction in court.

[69] Thirdly, Peregri himself acknowledges the absurdity of this deal. On 31 March 2025, he wrote in the #economics channel that "in the 9 minutes between oko and yoda's messages, i made a *very risky leveraged buyout* deal that depended on those credits coming in precisely on time". (Emphasis added.) While careful not to say it explicitly, this suggests that calculation went into the contract, with a view to taking advantage of the President's misstatement while it stood uncorrected. Unsurprisingly, the accompaniment to this message was "suing oko in cortesian court over releasing misleading information about bond dates".

[70] The sincerity of the deal beggars belief. And while this Court must be dispassionate and disinterested, impartiality is not naïveté.

[71] Even supposing the deal were not a sham, the President could not have foreseen the late fee, and her message was neither proximal to the late fee nor reasonably relied on for it.

[72] The President's message was about the date of bond repayment, which, it seemed, she mistakenly thought was 31 March 2025. In the context of Peregri's specific contract, her misstatement was not the direct cause for Peregri's decision to include a 24-hour payment deadline or a late fee. If we were to take Peregri at his word, those were "a bargaining tactic", and it was thus commercial exigency which led to those clauses. To put it another way, assuming that the contract was sincere, the President's message may have led Peregri to enter into it on that day, but it did not closely influence the spartan conditions imposed in the contract.

[73] And even if the reliance on the President's message was *bona fide*, it could not have been reasonable. The President's message was ambiguous as to which bonds were repayable. Peregri's response is:

> "I purchased bonds within less than a day of their issuance. What other bonds could she be referring to? Was I to assume that my own bond's maturity date was several days after that of other peoples', despite the fact that they could have not possibly purchased their bonds more than 22 hours before I purchased my own?"

[74] The answer to Peregri's response lies in his own submission. Earlier on in the hearing, he said:

> "The opposition will no doubt argue that it is unreasonable to expect a bond to function in this way, but as I said before, this ambiguity doesn't exist in real life as people are informed of the exact maturation date before their purchase, whereas I was never given an exact date".

[75] The "Treasury bookkeeping ledger" shows that different bonds have different lengths until maturity. The reasonable thing for Peregri to have done, especially before staking so much money, was to ask the President to clarify her message. This he did not do. And based on the information he had available, binding himself to the 24-hour payment deadline and the late fee was not reasonable. Their inclusion did not even have an impact on Vortexion's willingness to enter the contract, since Vortexion was not aware of the late fee.

[76] For these reasons, causation has not been established. Peregri's claim must fail as a result.

VI. Conclusion

[77] This is the first judgment in which a Cortesian Court has been presented with a delictual claim. Though the claim fails, because causation could not be established, we have taken the opportunity to answer important questions about the application of the Act. And we have introduced the delict of negligent misstatement into our law.

[78] On the elements of wrongfulness, negligence, and causation, we have established certain rules, some general and some particular to negligent misstatement.

[79] We hold that wrongfulness is established in a case of negligent misstatement when the statement is shown to be inaccurate and was made by someone specially trusted to take the care to deliver it accurately.

[80] We hold that reasonable foresight required under negligence relates to the *genus* of harm suffered by the plaintiff, and not just any harm which could possibly result from the defendant's conduct.

[81] And we hold that in cases of negligent misstatement, the harm must result from *reliance* on the misstatement. This reliance must be proximal, *bona fide*, and reasonable.

[82] The President's misstatement in this case fulfilled most of the requirements of a delict. But at the end of the day, we were not convinced that Peregri actually, sincerely, or reasonably relied on it. His claim therefore fails.

VII. Order

[83] For the reasons given in this judgment, the claim is dismissed.

It is so ordered.